

Executive Summary

- **Sovereign Debt Strain:** Government borrowing costs across major developed economies (US, Japan, UK, Germany, and France) hit new multi-decade peaks. A toxic mix of fading US-Iran peace hopes, unbudgeted AI CapEx, and escalating defense spending is forcing heavy reliance on debt financing.
- **Geopolitical Commodities Spikes:** Crude oil jumped past \$91/bbl following severe statements from Donald Trump threatening military action against Oman if they interfere with US-Iran negotiations. Meanwhile, a US-backed 15-point Gaza peace plan collapsed after being rejected by Israel.
- **UK Labor & Real Estate Squeeze:** Domestic stagflationary pressures intensified as UK wage growth slowed to 4.1% and payroll employment shed 13,000 jobs in July. Simultaneously, the housing market cooled, with Rightmove data revealing a 2% drop in average newly-listed asking prices for August.

Market Metrics Dashboard

Asset Class	Financial Benchmark	17 Aug 2026	18 Aug 2026	19 Aug 2026	Daily Change (18th)
Equities	S&P 500	7,785	7,785	7,691	Flat
	FTSE 100 Index	10,766	10,711		-0.51%
Fixed Income	US 10-Year Treasury	4.70%	4.70%		Flat
Commodities	Brent Crude Oil (\$/bbl)	89.00	91.00		+2.25%
	Gold Spot (\$/oz)	4,460	4,448		-0.27%

Macro Economic & Geopolitical Commentary

Global Sovereign Debt & Fiscal Strain

- **Yield Curve Peak:** Government borrowing costs established fresh multi-decade highs globally, impacting the US, Japan, UK, Germany, and France.
- **Deficit Concerns:** Sovereigns are aggressively stepping up unbudgeted spending for domestic AI capital expenditure and military procurement. With yields tracking higher, debt service coverage ratios are deteriorating rapidly, presenting a severe refinancing burden for heavily indebted states.

Middle East Geopolitical Friction

- **Diplomatic Collapse:** The US Middle East envoy convened meetings with Israeli Prime Minister Netanyahu and a Hamas delegation in Egypt to implement a 15-point Gaza peace framework. The plan—which dictated Hamas disarmament, complete Israeli military withdrawals, and a civilian-led Palestinian administration for Gaza reconstruction—was rejected by Israel, depressing regional peace optimism.
- **Oman Threats:** Geopolitical risk premiums spiked in energy markets after Donald Trump issued a warning to militarily strike Oman if the state obstructs bilateral US-Iran backchannel communications, pushing oil prices instantly over the \$90/bbl threshold to \$91/bbl.

United Kingdom Economy: Squeezed Labor & Housing Markets

- **Labor Market Cooling:** UK wage growth (including bonuses) decelerated to 4.1% for the three months leading into June, down from 4.4%. Headline unemployment held steady at 4.9%, but payroll data for July registered an absolute decline of 13,000 workers. This slowing wage performance, moving opposite to sticky inflation, is exacerbating the domestic cost-of-living squeeze.
- **Real Estate Downturn:** Leading indicator data from Rightmove showed the average price of a newly-listed UK residential property fell by 2% in August, reflecting high mortgage financing headwinds and dampened buyer sentiment.

Sector Updates & Energy Infrastructure

North Sea Oil & Gas Project Pipelines

- **Exploration & Production (E&P) Approvals:** Prime Minister Andy Burnham is poised to greenlight two flagship capital-intensive energy infrastructure developments in the North Sea via a joint venture named Adura, operated by Shell and Equinor:
 - **Rosebank:** Situated roughly 80 miles northwest of the Shetland Islands, this field stands as Britain's largest untapped oil reserve. At peak production, it is projected to extract approximately 69,000 barrels of oil per day alongside natural gas.
 - **Jackdaw:** Positioned for fast-tracked gas extraction with first production slated as early as this autumn. At full asset maturity, Jackdaw is modeled to supply 6.5% of the UK's total North Sea gas output, drastically shifting domestic energy independence profiles.
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17Th August 2026

SNP 7,785

FTSE 10,766

US 10Y 4.70%

Oil 89

Gold 4,460

Top Stories:

- The US Middle East envoy met with Netanyahu and a Hamas delegation in Egypt about implementing a US backed 15-point Gaza peace plan, which as rejected by Israel last week. The plan called for Hamas disarmament, Israeli withdrawals and Gaza reconstruction under a new civilian Palestinian administration.
- Andy Burnham is expected to approve development of the Rosebank and Jackdaw projects in the North Sea. Rosebank, roughly 80 miles north west of the Shetland Islands is Britains largest untapped oil reserve and projected to produce about 69,000 barrels of oil a day at its peak. It will also produce gas. Jackdaw, could start producing gas as soon as this autumn and its peak is

expected to account for about 6.5% of the UK's North Sea gas production. Shell and Equinor, through joint venture Adura, are developing the reserves.

- Rightmove data shows the average newly-listed UK home asking price fell 2% in August.

18th August 2026

SNP 7785

FTSE 10711

US 10y 4.7%

Oil 91

Gold 4448

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- Trump threatens to bomb Oman if they get in the way of US talks with Iran which has caused the price of oil to jump \$90.
- Governments borrowing cost hit further multi-decade highs as US-Iran peace hope fades. US, Japan, UK, Germany and France hit peaks. Countries, especially, are increasing their AI capex and defence spending which will require extra financing outside of their budget. With yields increasing, debt repayments for these states will become a heavier burden on already debt heavy nations.
- Wage growth, including bonuses, slowed to 4.1% in 3 months to June, down from 4.4%. unemployment remained at 4.9% and payroll employment fell by 13,000 in July. The results are part of the squeeze from the middle east conflict. Slower pay growth combined with rising inflation cuts real incomes, worsening the cost of living squeeze.

19th August 2026

SNP 7691

FTSE 10727

US 10y 4.71%

Oil

91

Gold 4409

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- Iran threatened to strike US assets in Europe if Donald Trump escalates the conflict. Sources in Tehran view renewed confrontation as increasingly likely.
- As a result of the increased government yields US equities fell, especially for growth-oriented sectors like chips. Consequently, we can expect discount rates to increase, disproportionately hurting high-growth technology and semiconductor stocks.
- Under high-stress scenarios, an official government assessment has warned Great Britain could face gas shortages in the 2030s. Declining North Sea production and risks from import disruptions, low European storage and outages at terminals or pipelines could cause this.
- UK headline CPI inflation rose to 2.9% in July from 2.6% in June, largely driven by energy price. This unexpected uptick is a reversal of recent disinflation and complicates the BoE inflation outlook.

20th August 2026

SNP 7707

FTSE 10720

US 10y 4.65%

Oil 93

Gold 4548

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- Trump says he will put crushing economic operations on any country that helps or does business with Iran.
- US national debt surpassed \$40tn, more than doubling since 2016, as a result of heavy fiscal spending in recent years and larger interest payments.
- The rising government yields in the UK have outshined Burnhams plans to cut the cost-of-living crisis. The newly appointed PM introduces VAT cuts on energy bills, saving households on average of £45 per year. However, the increase in UK gilt yields have caused households monthly mortgages to increase, remove the relief they would have received from the energy cuts.

21st August 2026

SNp 7641

FTSE 10756

US 10y 4.70%

Oil 93

Gold 4616

Top Stories:

- Walmart reporting slowest sales growth in more than six years for the most recent quarter, signalling strain among American shoppers from the elevated fuel prices.
- JD Sports cut their full year pre-tax profit forecast to £700m-£800m (from £750-£850m) after weaker than expected trading. The group said cost of living pressures hit shopper demand, particularly in the US. Sales in Q2 fell 3.1%, with NA down 6.8% and Europe 2.7%.

22nd August 2026

SNP 7674

FTSE 10816

US 10Y 4.74%

Oil 94

Gold 4624